**Assignment 2**

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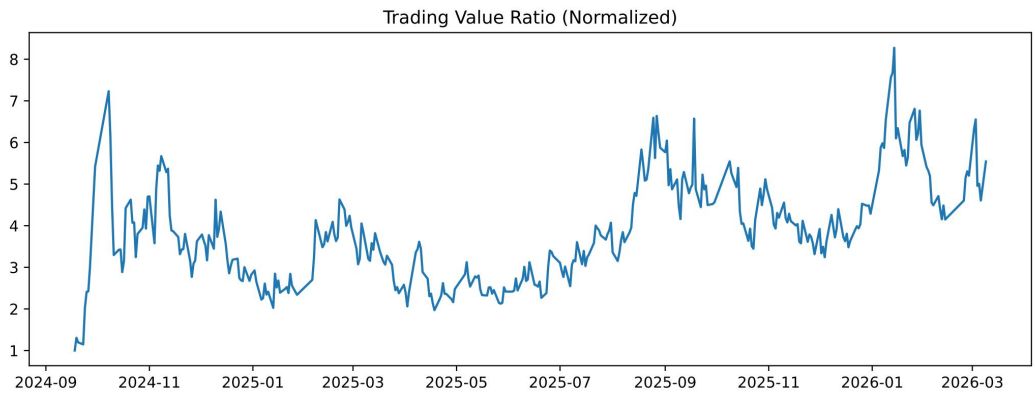
1. **Trading Value Ratio**

| Date | Trading Value Ratio |
|---|---|
| 2015 | 11.280498 |
| 2021 | 3.36913 |
| current | 5.54318 |

The trading value ratio of 2015 episode is much higher than 2021 and current, showing market now is moderate comparing to previous episode.

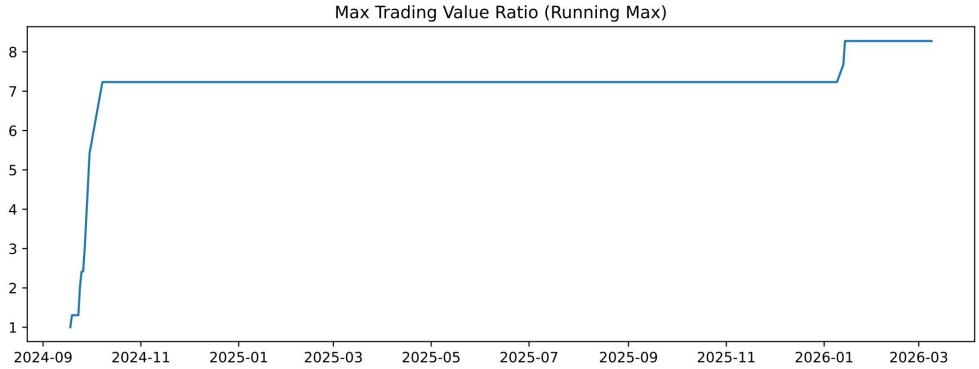



2. **Maximum Trading Value Ratio Within the Bull Market**

**(a)**

| Date | Max Trading Value Ratio |
|---|---|
| 2015 | 13.555876 |
| 2021 | 5.399848 |
| current | 8.275323 |

The Maximum trading value ration in current episode is higher than 2021 but lower than 2015. From the figure we can find out the Maximum A-share total trading value during current episode has not change for a long time until 2026. These suggest that while the current market has experienced periods of heightened trading activity, it has not reached the extreme speculative intensity seen in 2015.



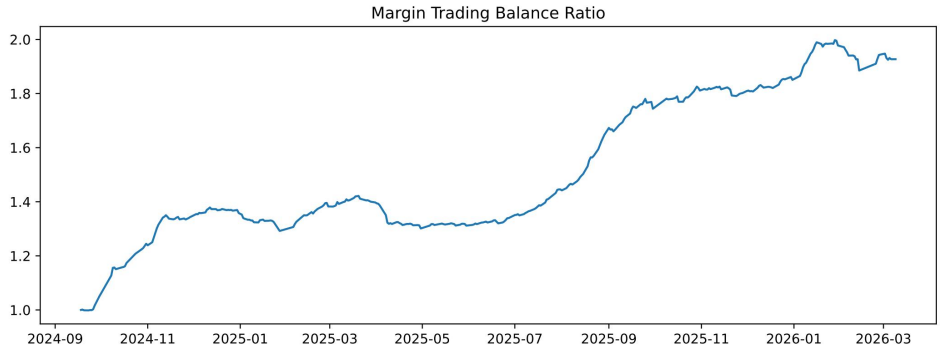

**(b)**

| Date | Index Before Peak | Index After Peak |
|---|---|---|
| 2015 | 1.283039 | 0.118193 |
| 2021 | 0.330224 | 0.098651 |
| current | 0.518464 | -0.007147 |

Before peak, the price change is much lower than 2015, showing current episode upward momentum is solid and not as explosive as the 2015 bubble. After peak, the price change is negative, showing the upward is stop, suggesting a weaker continuation and potential signs of early-stage correction or consolidation.

3. **Margin Trading Balance Ratio**

| Date | Margin Ratio |
|---|---|
| 2015 | 5.500002 |
| 2021 | 2.198825 |
| current | 1.926988 |

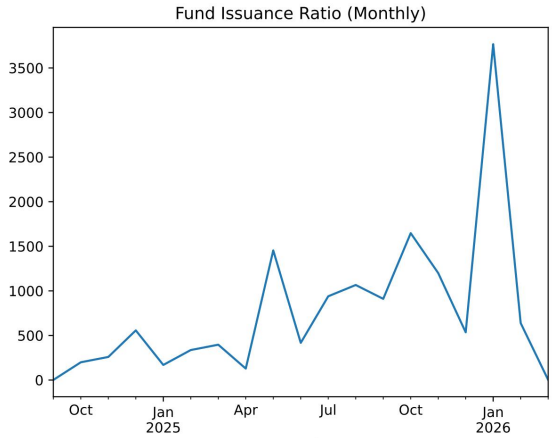



The data shows current episode Margin Trading Balance Ratio is lower than both 2015 and 2021. The figure shows in current episode, the ratio is keep growing. The results suggest the current bull market appears to be less dependent on leverage, implying lower systemic risk and a more sustainable market structure. But we also have to beware of potential bubble risks.

4. **New Issuance of Equity-Oriented Funds (Monthly)**

| Date | Fund Ratio |
|---|---|
| 2015 | 3.205319 |
| 2021 | 19.921282 |
| current | 1.373447 |

The New Issuance of Equity-Oriented Funds in 2021 is much higher than 2015 and current episodes. As the lowest New Issuance of Equity-Oriented Funds, the current market shows a substantial decline in new capital inflows, suggesting weaker investor enthusiasm and reduced fundraising activity. Investors are more cautious to market environment. However, the ratio shows an extremely high value in 2026.1, which we should be aware of.

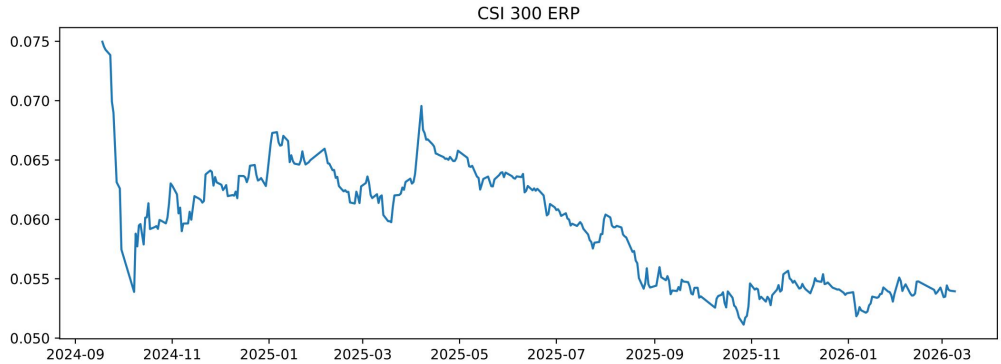



5. **CSI 300 ERP**

**(i)**

| Date | ERP Change |
|---|---|
| 2015 | -0.094223 |
| 2021 | -0.06353 |
| current | -0.034994 |

We can view all negative ERP change, suggesting the ERP always higher in the end of episode.




**(ii)**

| Date | ERP Percentile Start | ERP Percentile End |
|---|---|---|
| 2015 | 0.998523 | 0.202516 |
| 2021 | 0.980244 | 0.183538 |
| current | 0.973654 | 0.422261 |

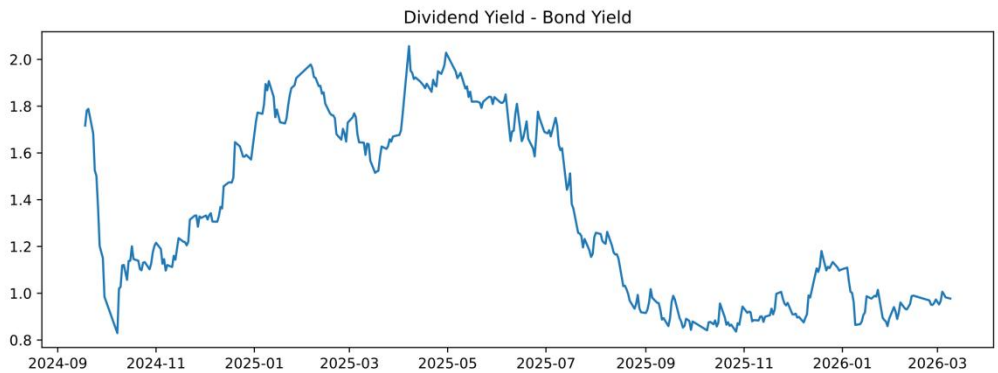
All these data above shows current episode is better than the previous, with smaller change and higher percentile.

This upward trend indicates that the equity risk premium is gradually increasing, suggesting an improvement in expected returns relative to risk-free assets. The decreasing magnitude of the negative ERP change implies that the market is moving towards a more balanced valuation, with reduced overvaluation pressure compared to previous bull markets. The trend reflects a recovery in risk compensation, although the ERP change is still negative, indicating that the market has not yet reached a fully attractive valuation level.

6. **CSI 300 Dividend Yield Minus 10-Year Government Bond Yield**

**(a)**

| Date | Spread Change |
|---|---|
| 2015 | -3.9917 |
| 2021 | -3.518 |
| current | -2.1369 |




**(b)**

| Date | Spread Percentile Start | Spread Percentile End |
|---|---|---|
| 2015 | 0.972509 | 0.103573 |
| 2021 | 0.993586 | 0.180671 |
| current | 0.999437 | 0.740042 |

The spread change is decreasing, suggesting the relative attractiveness of equities compared to bonds has improved. In terms of percentile, the spread has moved from extremely low levels in 2015 and 2021 to a much higher percentile of 0.74 currently. This implies that the

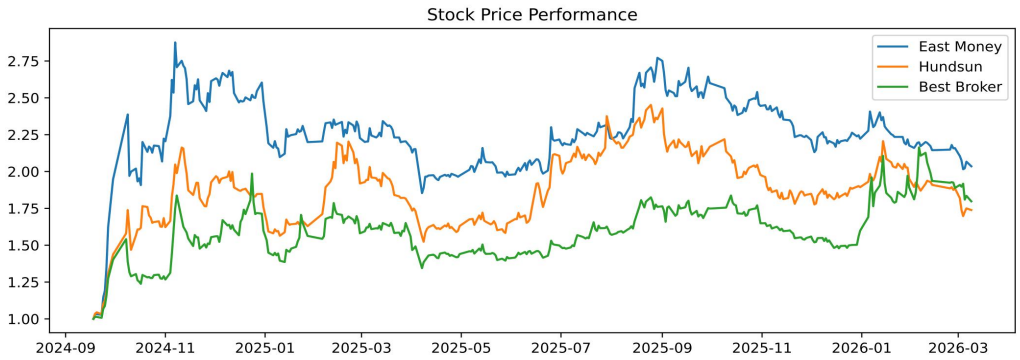
market is closer to offering a relatively attractive risk-return profile compared to historical levels.

7. **Price Change of Representative Stocks**

| Date | East Money Return | Hundsun Return | Best Broker Return |
|---|---|---|---|
| 2015 | 6.254386 | 4.840773 | 5.282392 |
| 2021 | 1.94136 | 0.907557 | 2.633761 |
| current | 1.035475 | 0.738693 | 0.797706 |

The best-performance brokerage stock:002945

The three stock returns show that return: stock related to securities trading systems > stock that benefits from higher trading value > stock related to securities trading systems




However, the data and figure both show that in current episode, the return of Hundsun (stock related to securities trading systems) is approximately higher than brokerage stock. Brokerage stock reflects investors' direct sensitivity to trading volume and market activity. East Money represents account opening and investor participation, usually follows, while Hundsun Technologies reflects the demand for trading systems.

As all stock returns are much lower than 2015 and 2021, with East Money gives the highest return, the market is at early stage.

**Overall:** The current market does not exhibit characteristics of a severe speculative bubble. It appears to be a more sustainable and fundamentally supported bull market. However, given that valuations remain elevated and risk premiums are limited, investors still need to exercise caution.